

Bank of Baroda

Investment Rating : Weak

Company Overview

Website	http://www.bankofbaroda.co.in/
Sector	nan
Market Cap	590,971.02 Cr
PE Ratio	16.89
PB Ratio	4.15
Dividend Yield	2.62 %

Financial Quality

ROE	16.7
ROCE	6.33
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	50.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Bank of Baroda is engaged in providing various services, such as personal banking, corporate banking, international banking, small and medium enterprise (SME) banking, rural banking, non-resident Indian (NRI) services and treasury services.

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.
Return on equity improving for 3 consecutive years shows strengthening business quality.

Risks

Debt-to-equity ratio of 12.14 is elevated for a non-financial company and warrants monitoring.

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.

Rising debt over the past 3 years suggests increasing financial leverage risk.

Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.

Net debt exceeding three times operating profit indicates elevated financial leverage.